

# Faropoint's thesis | Underwriting the corridor

Two Northeast/Mid-Atlantic markets, two different reasons for conviction — and a 2026 track record of acting on it.

## The house view: Northern New Jersey

Faropoint's research team rates Northern New Jersey **Over-weight** among Gateway markets — near-term rent softness more than compensated by the widest Treasury spread in the set.

### Northern New Jersey · Gateway market

OVER-WEIGHT

**\$1.57B**

FarOS H1 2026 volume seen, 141 deals (-4.7% QoQ)

**6.3% / 7.2%**

In-place / untrended cap rate, 20–100K SF

**+185 bps**

Treasury spread — widest of Faropoint's three Gateway markets

**5.9%**

Vacancy, 20–100K SF (+23 bps QoQ)

**-2.3%**

LTM rent growth — the near-term softness being priced

**+2.62%**

Expected 2-yr rent growth (2026–27) — the recovery being underwritten

"FarOS volume seen" reflects deal flow tracked by Faropoint's sourcing platform across the market, not Faropoint's own closings. Source: Faropoint Research, *Market Pulse H1 2026*, House View — Gateway Markets.

## Gateway vs. Value: two markets, two theses

Faropoint House View — Northeast & Mid-Atlantic markets, H1 2026 (20–100K SF)

| MARKET              | FAROS DEALS | FAROS VOLUME | IN-PLACE CR | UNTRENDED CR | TSY SPREAD | VACANCY | LTM RENT GR. | EXP. 2-YR GR. | HOUSE VIEW   |
|---------------------|-------------|--------------|-------------|--------------|------------|---------|--------------|---------------|--------------|
| Northern New Jersey | 141         | \$1,573M     | 6.3%        | 7.2%         | +185 bps   | 5.9%    | -2.3%        | +2.62%        | Over-weight  |
| Philadelphia        | 90          | \$721M       | 6.2%        | 7.4%         | +182 bps   | 4.6%    | +7.8%        | +2.88%        | Under-weight |

Northern New Jersey (Gateway) is Over-weight on pricing despite softer rents. Philadelphia (Value) is Under-weight despite the stronger rent print — its leasing spreads compressed sharply as outsized COVID-era gains normalize. Source: Faropoint Research, *Market Pulse H1 2026*.

## Faropoint's New Jersey acquisition footprint, 2026 YTD

TOTAL DEPLOYED  
**\$65.5M**

TRANSACTIONS  
**5**

BUILDINGS ACQUIRED  
**5**

AVG. DEAL SIZE  
**\$13.1M**

AVG. BUILDING SIZE  
**~60,000 SF**

**No. 1 buyer in the market by deal count.** Across 51 tracked NJ industrial, land and IOS deals in 2026 YTD, Faropoint led every buyer with 5 deals (9.8% of all deals; 19.2% of industrial-only). By dollar volume it ranks #11 (\$65.5M, 3.2%) — a high-frequency, smaller-check strategy, not one built around trophy deals like Goodman's \$360.0M Anheuser-Busch land buy.

NJ industrial only — Fund-level and other Mid-Atlantic totals unavailable this session.

**The thread.** The port drives regional industrial demand — shallow bay captures a disproportionate, structurally protected share of it — and Faropoint holds its highest Northeast conviction there, backed by a 2026 record as the market's No. 1 buyer by deal count.